

Although she'd never been late on a credit card payment before, after Anna returned from vacation, she ended up paying her bill a month past its due date. Anna paid the interest and the \$35 penalty charges and assumed it was all behind her. But it wasn't. When she started shopping around for a home loan a few months later, she was shocked. Although people with great credit were qualifying for 5.9% interest rates, her one late payment lowered her credit score to the point where she could only qualify for a rate of 7%. That didn't sound like a big difference, but she did the math and discovered that 1.1% meant she'd pay \$51,000 extra in interest over the life of her thirty-year loan. (See the chart on chapter 3 for how the math worked out.)

After consulting a few more lenders, Anna learned she could build up her score again by reestablishing her old pattern of paying all her bills on time. She decided to wait, and over the next three years her score slowly but steadily climbed back to where it was in the first place.

↓ **IF YOU'RE IN SERIOUS DEBT**

If you're like a lot of people these days, you may be having severe trouble paying your bills. The first thing you should do is go straight to your lenders and explain your financial situation. You may be surprised to find them willing to work with you to come up with a more flexible repayment schedule. After all, they have a vested interest in making it possible for you to pay them back.

If your creditor has hired a debt collector to get you to pay up, know your rights. Debt collectors can contact you by phone, mail, fax, or in person. They must contact you during reasonable hours (not before 8 a.m. or after 9 p.m.) unless you agree to a different arrangement. They can't harass you or repeatedly phone you with the intent to annoy you. You can stop a debt collector from continually contacting you by sending a letter to the collection agency he or she represents. Under the Fair Debt Collection Practices Act, the collection agency must stop contacting you at your written request, except to notify you of plans to bring legal action against